MANAGEMENT'S DISCUSSION AND ANALYSIS

Second quarter operating earnings reflect continued strong results in our Fresh Bakery operations, supported by operating cost improvements and a continued shift towards higher margin premium nutrition whole wheat and wholegrain products.

Sales for the second quarter increased by 5% to $344.6 million from $329.7 million for the prior year, primarily due to the Fresh Bakery business. Sales for the first six months of 2005 were $661.5 million, an increase of 4% over 2004.

Net earnings for the quarter were $21.3 million ($0.84 per share) compared to $15.8 million ($0.62 per share) last year. Year-to-date net earnings before restructuring costs were $36.4 million ($1.43 per share), compared to $28.3 million ($1.11 per share) last year. Including restructuring costs, year-to-date net earnings were $33.1 million ($1.30 per share).

Operating Review

Earnings from operations increased 30% to $30.5 million compared to $23.4 million last year, driven by increased earnings in the Fresh Bakery operations. Earnings from operations before restructuring costs for the year-to-date increased 23% to $52.5 million. Comparisons of earnings from operations exclude $4.7 million ($3.2 million after tax) of restructuring costs in the first quarter of 2005. Management believes this is the most appropriate basis on which to evaluate operating results, as restructuring costs are not representative of ongoing operating earnings.

Fresh Bakery sales increased 5% to $247.0 million in the second quarter, and increased to $467.9 million for the first six months from $445.2 million last year. Earnings from operations increased to $25.7 million in the second quarter from $16.9 million last year, while earnings from operations for the year-to-date increased to $40.7 million from $26.8 million last year. Strong sales of premium nutrition multi-grain and specialty breads, operating cost reductions, particularly in the western and eastern fresh bakery operations, and price increases that offset inflationary cost increases all contributed to increased earnings. Fresh pasta and sauce earnings also increased due to new U.S. product distribution.

Frozen Bakery sales increased to $97.6 million from $95.1 million in the second quarter of 2004, while sales for the first six months increased to $193.6 million from $189.9

million last year, due mainly to ongoing growth in the U.K. bakery operations. Operating earnings declined to $4.7 million in the second quarter from $6.5 million last year, while operating earnings for the year-to-date were $11.8 million compared to $16.0 million in 2004. The decline in second quarter operating earnings was primarily due to higher advertising and promotional spending in the U.K. Bakery operations, as a new marketing campaign was launched to support increased production from the new bagel plant in Rotherham.

Cash Flow and Financing

Cash flow from operating activities for the second quarter was a source of funds of $30.4 million compared to a source of funds of $32.8 million last year, while year-to-date cash flow from operations was a source of funds of $26.5 million compared with $61.4 million in the prior year-to-date. This year-over-year change was due primarily to an increased investment in working capital offset by increased net earnings in the first and second quarters of 2005. Capital expenditures increased to $20.7 million from $13.9 million last year, including expenditures related to the installation of new equipment to support the new FroBake® line of products in the United States and completion of the new bagel plant in the United Kingdom.

In the ordinary course of business, the Company enters into derivative financial instruments to reduce underlying valuations and cash flow risks associated with foreign currency, interest rates and commodity prices. If the Company had not entered into these contracts, operating earnings for the second quarter of 2005 would have been higher by $0.4 million (2004: lower by $0.1 million) and higher by $0.4 million (2004: lower by $0.2 million) for the year-to-date. Interest expense for the second quarter of 2005 would have been higher by $0.2 million (2004: higher by $0.6 million), and on a year-to-date basis would have been higher by $0.4 million (2004: higher by $1.3 million).

The Company's primary debt facilities mature near the end of 2005 and the Company is planning to refinance its revolving credit agreement within the next three months.

Quarterly Financial Information

The following is a summary of unaudited quarterly financial information for the ten interim periods ended June 30, 2005 (thousands of dollars except per share amounts).

		1st Quarter	2nd Quarter	3rd Quarter	4th Quarter	Total
Sales	2005	$ 316,861	344,610			$ 661,471
	2004	305,412	329,668	335,707	348,078	1,318,865
	2003	308,992	312,516	324,024	317,279	1,262,811
Net Earnings	2005	$ 11,885	21,262			$ 33,147
	2004	12,549	15,799	19,048	19,252	66,648
	2003	3,318	9,183	11,301	11,831	35,633
Net Earnings	2005	$ 15,104	21,262			$ 36,366
before restructuring costs	2004	12,549	15,799	19,048	19,252	66,648
	2003	8,120	9,183	11,301	11,831	40,435
Cash flow from operating	2005	($ 3,943)	30,433			$ 26,490
activities	2004	28,561	32,821	32,773	48,577	142,732
	2003	(3,774)	(6,250)	28,363	48,035	66,374
Earnings per share ($)						
Basic	2005	$ 0.47	0.84			$ 1.30
	2004	0.49	0.62	0.75	0.76	2.62
	2003	0.14	0.36	0.44	0.47	1.42
Diluted	2005	$ 0.47	0.83			$ 1.29
	2004	0.48	0.61	0.73	0.75	2.57
	2003	0.14	0.35	0.44	0.46	1.39

Risk Factors

For a detailed analysis of risk factors that affect the Company, please refer to the 2004 Management's Discussion and Analysis included in the 2004 Annual Report to shareholders.

Other Matters

The Company declared a dividend of $0.06 per share payable on July 4, 2005 to shareholders of record on June 17, 2005.

Canada Bread, which is 87.5% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2004 sales of $1.3 billion and employs approximately 7,300 people at its operations across North America and in the United Kingdom.

Forward-Looking Statements

This document contains forward-looking statements and information, which may include statements concerning the Company's outlook for the future, as well as other statements of beliefs, future plans and strategies or anticipated events, and similar expressions concerning matters that are not historical facts. The forward-looking information and statements are subject to risks and uncertainties that could cause actual results to differ materially from those expressed in, or implied by, the statements. These risks and uncertainties include, but are not limited to, the availability and prices of raw materials and supplies, product pricing, the competitive environment and related market conditions, operating efficiencies, access to capital, the cost of compliance with environmental and health standards, adverse results from ongoing litigation and actions of domestic and foreign governments. Canada Bread assumes no obligation to publicly update or revise these forward-looking statements even if experience or future changes make it clear that any projected results expressed or implied therein do not materialize. Refer to the Company's annual report, management proxy circular, annual information form and other filings with the Ontario Securities Commission and Toronto Stock Exchange for further information on risks and uncertainties that could cause actual results to differ materially from forward-looking statements.

NNNN